KYC and AML Policy

SYNTHETIC DEMONSTRATION DOCUMENT. Modelled on the structure of banking regulation for evaluation purposes only. Not an actual regulatory instrument.

Aravali Bank Ltd (Synthetic)

1. Purpose

1.1 This policy sets out how the Bank meets its Know Your Customer and anti-money laundering obligations.

2. KYC policy approval and annual review

2.1 The KYC and AML policy is approved by the Board of Directors and placed before the Board for review every year; the Company Secretary records the approval in Board minutes. Control reference: C-KYC-01. Owner: Chief Compliance Officer.

3. Principal Officer designation

3.1 The Board designates a Principal Officer for AML; Compliance communicates the name and contact details to the FIU within 30 days of any appointment. Control reference: C-KYC-02. Owner: Chief Compliance Officer.

4. CDD at onboarding

4.1 The core banking onboarding workflow requires identity verification against officially valid documents before an account number is generated; accounts cannot be activated if CDD is incomplete. Control reference: C-KYC-03. Owner: Head - Retail Operations.

5. Beneficial owner identification

5.1 For legal entity customers, onboarding staff identify beneficial owners holding more than 10% ownership and record them in the KYC Portal; a checker verifies the ownership chart. Control reference: C-KYC-04. Owner: Head - Corporate Operations.

6. Customer risk categorisation review

6.1 The AML team reviews the risk categorisation (low, medium, high) of all customers once in six months using the risk scoring engine and documents changes. Control reference: C-KYC-05. Owner: Head - AML.

7. Periodic KYC updation tracker

7.1 A monthly tracker flags customers due for periodic KYC updation: high risk every two years, medium risk every eight years and low risk every ten years; branches complete updation within 60 days of the flag. Control reference: C-KYC-06. Owner: Head - Retail Operations.

8. V-CIP recording and storage

8.1 Every video KYC session is recorded end-to-end and stored in encrypted storage with access restricted to the KYC team. Control reference: C-KYC-07. Owner: Head - Digital Banking.

9. Record retention and archival

9.1 Transaction records and customer identification records are archived and retained for five years from the transaction date or from closure of the relationship, whichever is later. Control reference: C-KYC-08. Owner: Head - IT Operations.

10. STR filing workflow

10.1 Alerts escalated as suspicious are reviewed by the Principal Officer and Suspicious Transaction Reports are filed with the FIU within seven working days of the conclusion; the workflow prevents disclosure to the customer. Control reference: C-KYC-09. Owner: Principal Officer.

11. Monthly CTR submission

11.1 Cash Transaction Reports are generated from the core banking system every month and submitted to the FIU before the 15th of the following month. Control reference: C-KYC-10. Owner: Principal Officer.

12. AML transaction monitoring and alert closure

12.1 The automated AML system monitors all transactions and generates alerts for unusual patterns; alerts are investigated and closed within 30 days. Control reference: C-KYC-11. Owner: Head - AML.

13. Annual KYC/AML training

13.1 All frontline staff complete KYC and AML e-learning once a year; completion is tracked in the learning management system. Control reference: C-KYC-12. Owner: Head - HR Learning.

14. Quarterly internal audit of KYC

14.1 Internal Audit tests compliance with the KYC policy every quarter on a sample of accounts and reports findings to the Audit Committee. Control reference: C-KYC-13. Owner: Chief Internal Auditor.